Costing and marketing knowledge

Pink supported edition

Cost, price & marketing (links Maths).

Cost one offer

Cost is an expense.
Price is the amount charged.
Line cost = quantity × cost each.

Find unit cost

Add the line costs.
Divide by usable finished units.
Unknown costs stay to check.

Costing and marketing knowledge continued

Pink supported edition

Invented model only

Ten ready starter-plant pots with care cards.

Material	Qty	Cost each	Line cost
Pots	10	£0.20	£2.00
Growing medium portions	10	£0.10	£1.00
Approved starter plants	10	£0.30	£3.00
Label and care-card sets	10	£0.10	£1.00

Total £7.00.
£7.00 ÷ 10 = £0.70 per unit.
Proposed model price £1.00.

Costing and marketing knowledge continued

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Covering the spent batch

The full £7.00 batch is already paid for.
The model has no further costs.
Seven sales at £1.00 bring in £7.00.
That covers this counted batch.

Ten sales bring in £10.00.
£10.00 − £7.00 = £3.00 surplus.
Other costs could reduce it.

Invented teaching model only. These figures are not current prices, confirmed stock, actual pupil sales or a promise of profit.